

Sectors of the Indian Economy

Social Science — Economics • Chapter 2 • Chapter Summary & Study Guide for Daksh

When you eat a chapati, three different kinds of work brought it to your plate. A farmer grew the wheat. A miller ground it. A baker rolled and baked it. Each of these is part of a different **sector** of the economy. This chapter explains the three sectors — primary, secondary, tertiary — how they have changed in India over time, and the issues of **employment** in organised vs unorganised sectors.

Three sectors of the economy

PRIMARY (Agriculture & allied):

Activities that directly use natural resources.
e.g. farming, fishing, dairy, forestry, mining.
Also called the AGRICULTURAL sector.

SECONDARY (Industry):

Activities that turn natural products into other forms.
e.g. cotton -> fabric -> clothes; iron ore -> steel -> machines.
Also called the INDUSTRIAL or MANUFACTURING sector.

TERTIARY (Services):

Activities that support primary and secondary sectors.
e.g. transport, storage, banking, communication, education,
health, IT, government services.
Does NOT produce goods, but produces services.

How do we compare the sectors?

Two ways: by their **contribution to GDP** (Gross Domestic Product = total value of all **final** goods and services produced in the country in a year) and by **employment** they provide. **Final goods** only — to avoid counting in-between (intermediate) goods twice.

- **Historical pattern** seen in most countries: at the start, primary sector dominates GDP; with industrialisation, secondary takes the lead; in advanced economies, tertiary is the largest.
- **India** shows a unique twist: tertiary sector contributes the largest share of GDP, but most people are still employed in primary (~43%, 2017-18 data) — the agricultural sector.
- This means: agriculture employs many but produces less per worker (low productivity). It is **underemployed**.

Disguised unemployment and how to reduce it

When more people are working on a piece of land than really needed — say 5 family members on a farm that only really needs 2 — the surplus 3 are **disguised unemployed**. Their removal would not reduce output. How can we create jobs for them?

- Construction of **irrigation works, wells, dams, canals** to raise farm productivity.
- Building **rural infrastructure** — roads, transport, storage, cold-chains.
- Setting up **agro-processing** industries to add value to farm output.
- Promoting **education and health** services in rural areas — also creates jobs.
- **MGNREGA (2005)** — Mahatma Gandhi National Rural Employment Guarantee Act — guarantees 100 days of wage employment a year to every rural household whose adult members volunteer for unskilled manual work. A safety net.

Organised vs Unorganised sector

Another classification cuts across all three sectors:

- **Organised sector** — registered with the government, follows labour laws (Factories Act, Minimum Wages Act, Employees' PF, ESI). Workers get formal appointment letters, fixed hours, paid leave, gratuity, pension.

Often unionised. Examples: government employees, IT companies, large factories.

- **Unorganised sector** — small, scattered units, mostly outside government regulation. No formal contracts, low and irregular wages, no leave, no PF. Vulnerable to exploitation. Examples: street vendors, casual labourers, head loaders, small workshops, domestic workers, most farmers.

Most workers in India are in the **unorganised sector**. They need protection through laws, registration, social security schemes, and skill development.

Public vs Private sector

Yet another classification — by ownership:

- **Public sector** — owned by the government; aims for public welfare even if not always profitable. e.g. Railways, Post Offices, BHEL, ONGC, public hospitals, AIIMS, government schools.
- **Private sector** — owned by individuals or companies; aims to make profit. e.g. Reliance, Tata, Infosys, private hospitals.

Some essential services (defence, railways, public health, basic education, water supply) are best provided by the public sector — for equity and security. The two work side-by-side; reforms continue on the right balance.

★ MUST-REMEMBER POINTS

- Three sectors: Primary (agriculture/mining), Secondary (industry/manufacturing), Tertiary (services).
- GDP = market value of FINAL goods & services in a country in a year (avoids double counting).
- India: Tertiary biggest GDP share BUT primary biggest employment share → agriculture has low productivity.
- Disguised unemployment = more people working on a job than needed (e.g. extra hands on a small farm).
- MGNREGA 2005 — 100 days of guaranteed wage employment a year for rural household.
- Organised vs unorganised sector — most Indian workers are unorganised.
- Public sector (govt-owned, welfare-oriented) vs Private sector (profit-oriented).

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